
DIVIDEND DISTRIBUTION POLICY

*[Policy approved and adopted by the Board of Directors on **September 05, 2026**,
effective from **September 05, 2026**]*

TABLE OF CONTENTS

S. No.	Particulars	Page No.
1.	Background, Scope, Purpose and Effective Date	3
2.	Definitions	4
3.	Parameters for Dividend Distribution	4-7
4.	Disclosures	7
5.	Policy Review and Amendments	8
6.	Version Control / Approval History	9

DIVIDEND DISTRIBUTION POLICY

1. BACKGROUND, SCOPE, PURPOSE AND EFFECTIVE DATE

This Policy applies to the distribution of dividend by the Company in accordance with the provisions of Companies Act, 2013 (“Act”) and the rules made thereunder, as applicable.

NDR Smart Spaces Private Limited (“NDR Smart”/ “Company”) has approved and adopted this Dividend Distribution Policy (“Policy”), pursuant to the approval of its Board of Directors at its meeting held on **September 05, 2026, effective from September 05, 2026.**

The intent of the Policy is to broadly specify the external and internal factors, including financial parameters that will be considered while declaring dividend and the circumstances under which the shareholders of the Company may or may not expect dividend and how the retained earnings will be utilized, etc.

The Policy will not apply to:

- Determination and declaration of dividend on preference shares, as and when issued by the Company, the same will be as per the terms of issue approved by the shareholders.
- Issue of Bonus Shares by the Company
- Buyback of Securities.

The Policy is not an alternative to the decision of the Board to recommend or declare dividend as applicable. The Board shall, after taking into consideration all the relevant circumstances, including the parameters set out in this Policy and such other factors as may be considered relevant, determine whether any dividend should be recommended or declared.

The declaration and payment of dividend will be subject to applicable laws and Secretarial Standards issued from time to time.

Any declaration of dividend based on parameters other than, or resulting in a deviation from, the parameters set out in this Policy shall be regarded as a deviation from the Policy. Any such deviation in extraordinary circumstances, when deemed necessary in the interests of the Company, together with the rationale thereof, shall be disclosed in the Annual Report, as applicable.

The Company stands committed to enhancing long-term shareholder value and deliver sustainable growth to all its shareholders. The Company shall endeavour to distribute an optimal and appropriate level of the profits earned from its business in the form of dividend, with the shareholders while maintaining a strong financial foundation for the Company.

The Company shall endeavour to maintain a sustainable dividend policy, keeping in view its long-term growth objectives and the availability of internal cash accruals, while considering its financial position, liquidity requirements and other business and statutory obligations.

2. DEFINITIONS

- 2.1 **“Act”** shall mean the Companies Act, 2013 and the rules made thereunder, as amended from time to time.
- 2.2 **“Applicable Laws”** shall mean the Companies Act, 2013, the rules made thereunder and other applicable statutes, laws, regulations, notifications, circulars, guidelines, clarifications and directions issued by any competent statutory or regulatory authority, as amended from time to time.
- 2.3 **“Board”** shall mean the Board of Directors of the Company.
- 2.4 **“Dividend”** shall include interim dividend, final dividend and special dividend.
- 2.5 **“Company”** shall mean NDR Smart Spaces Private Limited.
- 2.6 **“Policy”** means Dividend Distribution Policy.

3. PARAMETERS FOR DIVIDEND DISTRIBUTION

A. PARAMETERS AND FACTORS FOR DECLARATION OF DIVIDEND

The dividend pay-out decision of the Board depends upon the following financial parameters and internal and external factors-

Financial parameters and Internal Factors:

- i. Operating cash flow of the Company
- ii. Profit earned during the year
- iii. Profit available for distribution
- iv. Earnings Per Share (EPS)
- v. Working capital requirements
- vi. Capital expenditure requirement
- vii. Business expansion and growth
- viii. Likelihood of crystalization of contingent liabilities, if any
- ix. Additional investment in subsidiaries and associates of the company
- x. Upgradation of technology and physical infrastructure
- xi. Creation of contingency fund
- xii. Acquisition of brands and business
- xiii. Cost of Borrowing
- xiv. Past dividend payout ratio / trends
- xv. Turnover
- xvi. Financial Ratios
- xvii. The Company's liquidity position and future cash flow need

- xviii. Stipulation/Covenants of Loan Agreements
- xix. Buyback of securities or any such alternate profit distribution measure.
- xx. Such other criteria as the Board may deem fit from time to time.

External Factors:

- i. Economic environment
- ii. Capital markets
- iii. Global conditions
- iv. Statutory provisions and guidelines
- v. Dividend payout ratio of competitors
- vi. Industry Growth Rate
- vii. Natural Calamities
- viii. Technological changes
- ix. Such other external factors as the Board may consider relevant.

B. CIRCUMSTANCES UNDER WHICH THE SHAREHOLDERS OF THE COMPANY MAY OR MAY NOT EXPECT DIVIDEND

The Board will consider the factors provided above under clause A before recommending or declaring any dividend as applicable, after evaluating the prospective opportunities and risk, business requirements, financial position of the Company and the viability of distributing or retaining profits.

The decision regarding dividend payout shall be based on the aforesaid factors, while balancing the interests of the shareholders with the Company's requirements for maintaining adequate financial resources for its business operations, growth and other obligations.

C. UTILIZATION OF RETAINED EARNINGS

The Board may retain the earnings to make optimum utilization of available funds and enhance long-term stakeholder value.

The primary purpose of retained earnings is to deploy such funds strategically, including investment in existing business initiatives, modernization, new projects approved by the Board, business expansion or repayment of high-cost debt.

The utilization of retained earnings of the Company will be based on the following factors:

- Expansion of the Company's business and operations;
- Development, acquisition, improvement and maintenance of business assets and infrastructure;
- Expansion into new markets, geography, products, services or business opportunities;
- Upgradation and modernisation of existing facilities, systems, processes and technology;
- Diversification of business;

- Funding inorganic and organic growth opportunities, including strategic investments, acquisitions, joint ventures and other business initiatives;
- Meeting working capital requirements and other operational requirements of the Company;
- Funding long-term strategic plans and business expansion initiatives;
- Replacement, acquisition or improvement of capital assets;
- Repayment or servicing of debt and maintaining an appropriate capital structure;
- Dividend payment, subject to the provisions of applicable laws and this Policy;
- Capitalisation and issue of shares, buyback, declaration of dividend or any other purpose permitted under the Companies Act; and
- Any other permissible purpose or criteria may be considered appropriate by the Board from time to time.

D. MANNER OF DIVIDEND PAYOUT

In case of Final Dividend:

- i. The Board may recommend a final dividend, if any, at the meeting at which the annual financial statements are considered and approved, subject to the provisions of the Act and approval of the shareholders.
- ii. The final dividend recommended by the Board shall be declared by the shareholders at the Annual General Meeting of the Company.
- iii. The payment of dividend shall be made within the statutorily prescribed period from the date of declaration to the shareholders entitled thereto, in accordance with applicable laws.
- iv. In case of inadequacy or absence of profits in any financial year, the Board may consider recommending final dividend out of accumulated profits in accordance with the provisions of the Act and the rules made thereunder, as applicable.

In case of Interim Dividend:

- i. The Board may declare interim dividend during the financial year or at any time during the period from closure of financial year till holding of the Annual General Meeting.
- ii. Before declaring interim dividend, the Board shall consider the financial position, profitability, cash flows, liquidity requirements and other relevant factors of the Company to ensure that the Company is able to meet its obligations after payment of such dividend.
- iii. The Board may declare interim dividend more than once during a financial year, subject to the provisions of the Act.
- iv. The payment of dividends will be made within the statutorily prescribed period from the date of declaration to the shareholders entitled to receive the dividend on the record date, as per the applicable laws.

Mode of Payment of Dividend

Dividend shall be paid to the shareholders entitled thereto in accordance with the provisions of the Act and applicable laws. Dividends may be paid through cheque, warrant or any electronic mode, as permitted under applicable laws.

Dividend shall be declared out of the profits of the Company for the relevant financial year and/or out of accumulated profits of previous financial years, as may be permitted under the provisions of the Companies Act, 2013 and the rules made thereunder.

The Company shall deduct and deposit tax at source on dividend payments, wherever applicable, and comply with the applicable provisions of the Income-tax Act, 1961 and the rules made thereunder.

The Company shall follow the procedures and requirements prescribed under the Act and applicable laws with respect to the computation, declaration and payment of dividend and treatment of unpaid or unclaimed dividend.

E. SEPARATE BANK ACCOUNT FOR DIVIDEND

The amount of dividend declared, including interim dividend, shall be deposited in a separate account with a scheduled bank within five days from the date of declaration, in accordance with the provisions of the Companies Act, 2013 and the rules made thereunder.

The dividend shall thereafter be paid to the shareholders entitled thereto from such separate account in accordance with applicable laws.

F. PARAMETERS TO BE ADOPTED WITH REGARD TO VARIOUS CLASSES OF SHARES

Since the Company has issued only one class of equity shares carrying equal rights, all shareholders of the Company shall be entitled to receive dividend in proportion to their respective shareholding, subject to the provisions of the Act.

The Policy shall be suitably reviewed and revised at the time of issue of any new class or category of shares, having regard to the rights and terms attached to such shares and the applicable laws.

Any deviation from the parameters stipulated in this Policy, or any material change to the parameters or provisions of this Policy, shall be considered and approved in accordance with the provisions of the Policy and applicable laws. Where required under applicable laws, the Company shall disclose such deviation or change, together with the rationale therefor, in its Annual Report and/or on its website.

4. DISCLOSURES

The Dividend Distribution Policy shall be made available to the Directors and shareholders of the Company through the Company's internal communication channels, as applicable.

The Policy and/or its weblink shall be disclosed in the Annual Report and hosted on the Company's website, if and when required under applicable laws.

5. POLICY REVIEW AND AMENDMENTS

This Policy shall be reviewed from time to time to ensure that it remains consistent with the applicable provisions of the Companies Act, 2013, rules made thereunder and other applicable statutory and regulatory requirements, as amended from time to time.

The Board may review, modify, add, delete or amend any of the provisions of this Policy as may be considered necessary or appropriate in view of changes in applicable laws, business requirements or other relevant circumstances.

Any amendment to this Policy shall be approved by the Board of Directors.

Any deviation or exception from the provisions of this Policy shall be considered and approved by the Board in accordance with applicable laws, and the rationale for such deviation or exception shall be disclosed, wherever required under applicable laws.

Disclaimer: Provisions of this Policy shall be subject to revision / amendment in accordance with the Rules, Notifications, etc. on the subject as may be issued by relevant statutory authorities, from time to time. In case of any amendment(s), clarification(s), circular(s), etc. issued by the relevant authorities, not being consistent with the provisions laid down under this Policy, then such amendment(s), clarification(s), circular(s), etc. shall prevail upon the provisions hereunder and this Policy shall stand amended accordingly from the effective date as laid down under such amendment(s), clarification(s), circular(s), etc.

Version Control / Approval History

Version	Effective Date	Approved By	Board Resolution Date	Amendment / Revision Details
1	September 05, 2026	Board of Directors	September 05, 2026	Initial adoption of the Dividend Distribution Policy